



AGENDA BILL

Agenda Item No. 9.B.

Date: February 20, 2024
To: El Cerrito City Council
From: Crystal Reams, Finance Director/City Treasurer, Finance Department
Subject: FY 2023-24 General Fund Budget Quarterly Update through December 2023

ACTION PROPOSED

Receive and file an update on City General Fund revenues and expenses for FY 2023-24 through December 2023.

BACKGROUND/ANALYSIS

The El Cerrito City Council adopted an annual Budget for FY 2023-24 on June 20, 2023. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports.

The General Fund Update (Attachment 1) includes information on revenues and expenditures and lists the year-to-date totals by classification and by department. This report summarizes the major General Fund revenue and expenditure categories through December 31, 2023 on a cash basis and includes comparisons to the prior year's budget. Similar to the first quarter reports from prior fiscal years, revenue cycles for many revenue sources - including property taxes - occur in the second, third and fourth quarters of the fiscal year. Consequently, revenue receipts are not realized in equal quarterly amounts.

The following are FY 2023-24 highlights occurring for the report period of October 1, 2023 through December 31, 2023 and reflect preliminary unaudited cash basis information.

1. Total revenue was \$20.8 million, approximately 43% of the adopted FY 2023-24 budget. As a reminder, property taxes are the City's largest income category and are received in December and April each year. The majority of revenues are non-departmental, as they are general and not allocated to one department.
2. Real property transfer taxes are performing under projections reflected in the adopted FY 2023-24 budget, which is slightly less than the prior fiscal year as reflected in the adopted budget for this category. Staff is currently analyzing revenue streams and plans to bring back to the City Council a proposed reduction for the real property transfer tax revenues with the midyear budget adjustments.
3. Total expenditures were \$25.2 million, or 52% of the adopted budget, which is trending slightly higher for the quarter.

4. Personnel costs of \$18 million include all personnel related costs. Personnel is the largest component of General Fund expenditures (72%) and is trending at just over 50% of the adopted FY 2023-24 budget.

STRATEGIC PLAN CONSIDERATIONS

This report is consistent with the City's Strategic Plan Goal - High-Performing Organization, Ensure the City maintains a strong financial position – and will allow the City Manager to develop a plan to ensure that Citywide Revenue meets the cost of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

ENVIRONMENTAL CONSIDERATIONS

This section is not applicable to this agenda item.

FINANCIAL CONSIDERATIONS

General Fund revenues and expenditures for FY 2023-24, both overall and by department, are tracking slightly lower for revenues and slightly higher for expenditures for the second quarter of the fiscal year. Staff will provide recommendations for adjustments to the budget at the midyear budget review in March.

LEGAL CONSIDERATIONS

This section is not applicable to this agenda item.

Reviewed by:

A handwritten signature in blue ink, appearing to read 'Karen Pinkos', is written over a faint, light blue circular stamp.

Karen Pinkos, City Manager

Attachments:

1. FY 2023-24 2nd Quarter General Fund Update



General Fund Budget Update

Quarter 2 FY 2023-24

10/01/23 – 12/31/23

INTRODUCTION

The City of El Cerrito is pleased to submit the Quarter 2 FY 2023-24 General Fund Budget Update, for the period 10/01/23 through 12/31/23. The report provides a high-level overview of the City's status on the budget, with expenditures by department, showing unaudited actuals.

GENERAL FUND REVENUES

FY 2023-24 General Fund revenue is budgeted at \$48.5 million. Table 1 shows the year-to-date revenues by classification, and Table 2 shows the year-to-date revenues by department. As of December 31, 2023, tax revenues are at 43% of budget. Taxes received during Quarter 2 include property tax, utility users' taxes, sales taxes, and real property transfer taxes (July through September). Overall General Fund Revenues for Quarter 2 are at 43% of the total FY 2023-24 Adopted Budget, which is slightly lower than the 48% received for Quarter 2 FY 2022-23.

Table 1 reflects real property transfer taxes for the months of July through October only, as November and December funds (totaling \$360,954 and \$224,868 respectively) were received in January and scheduled for February and will be reflected in the FY 2023-24 Quarter 3 Update. Adding the November and December real property transfer tax funds to the Quarter 2 revenue actuals results in year-to-date revenue of \$1,477,706 or 34% of the Adopted Budget. Property transfer taxes are performing under the projected amount in the FY 2023-24 Adopted Budget, and lower than the prior fiscal year which was at 56%. Staff will recommend an adjustment to this category at the next City Council meeting with other mid-year budget adjustments.

Table 1
General Fund Revenue – Classification
Quarter 2

Classification	Budget Amount	YTD – Q2 Actual Amount	% of Budget	Prior YTD – Q2 Actual Amount
Property Taxes	\$11,417,064	\$5,993,855	52	\$5,638,157
Sales Taxes	7,853,666	2,766,534	35	3,226,886
Transient Occupancy Taxes	150,000	25,353	17	35,253
Franchise Taxes	1,400,000	619,999	44	470,478
Business License Taxes	1,150,600	1,027,522	89	972,340
Property Transfer Taxes*	4,300,000	891,844	21	2,402,436
Utility Users' Taxes	3,520,000	1,374,064	39	1,534,388
Other Taxes	1,500	1,769	118	0
Taxes Totals	\$29,792,830	\$12,700,940	43%	\$14,279,938
Licenses & Permits	1,054,618	701,895	67	522,468
Fines & Forfeitures	120,000	98,232	82	62,496
Use of Money and Property	646,573	344,411	53	186,969
Intergovernmental Revenues	8,393,092	1,800,337	21	3,826,108
Charges for Services Totals	6,674,468	4,503,760	67	2,967,342
Other Revenue Totals	870,000	233,291	27	168,292
Other Financing Sources Totals	977,182	488,591	50	487,891
Totals	\$48,528,763	\$20,871,457	43%	\$22,501,504

*YTD actuals through October

Table 2
General Fund Revenues – Department
Quarter 2

Revenue	Budget Amount	YTD -Q2 Actual Amount	% of Budget	Prior YTD – Q2 Actual Amount
Non-departmental	\$35,136,304	\$13,483,306	38	\$16,505,147
Administration	140,100	5,988	4	6,542
Police	189,000	116,506	62	99,050
Fire	5,213,592	1,820,520	35	2,230,933
Public Works	523,700	432,146	83	173,052
Community Development	2,482,638	1,790,697	72	1,180,596
Recreation	4,843,429	3,222,294	67	2,306,184
Totals	\$48,528,763	20,871,457	43	\$22,501,504

GENERAL FUND - EXPENDITURES

General Fund expenditures are budgeted at \$48.6 million for FY 2023-24. Tables 3 and 4 show the expenditures year-to-date by classification and by department, respectively. Departments are tracking slightly higher at 52% of the total year-to-date amount for quarter 2. This is an increase over the Quarter 2 FY 2022-23 expenditures at 50%.

As in previous fiscal years, Personnel is the largest component of General Fund expenditures (72%). Departments have continued to fill vacant positions and we are now trending at 51% of budgeted expenditures. This is slightly higher than Quarter 2 FY 2022-23 at 46%.

Table 3
General Fund Expenditures – Classification
Quarter 2

Classification	Budget Amount	YTD - Q2 Actual Amount	% of Budget	Prior YTD – Q2 Actual Amount
Personnel	\$35,057,398	\$18,003,966	51	\$15,609,243
Purchased Professional & Technical Services	5,294,497	2,652,663	50	1,661,141
Purchased Property Services	2,489,325	948,360	38	750,984
Other Purchased Services	3,124,201	2,553,970	82	1,968,423
Supplies	861,692	328,438	38	255,985
Property & Capital	637,428	186,128	29	218,711
Financing Costs	570,386	300,190	53	196,059
Other Financing Uses	582,763	291,382	50	333,881
Totals	\$48,617,690	\$25,265,097	52	\$20,994,427

In Table 3, the actual expenditures reflected for the “Other Purchased Services” classification includes the one-time full fiscal year’s annual insurance premiums which are paid each year in July. Also, in Table 4 expenditures reflected for the Administration Department include the one-time full fiscal year’s annual payments.

Table 4
General Fund Expenditures – Department
Quarter 2

Expenditures	Budget Among	YTD – Q2 Actual Amount	% of Budget	Prior YTD – Q2 Actual Amount
Administration	\$7,123,209	\$4,623,611	65	\$3,616,064
Police	13,523,728	6,751,421	50	5,917,294
Fire	14,507,355	7,028,537	48	6,185,800
Public Works	2,483,303	1,235,471	50	985,796
Community Development	3,983,870	2,097,631	53	1,380,513
Recreation	6,005,416	3,083,154	51	2,541,601
Non-departmental	990,809	445,272	45	367,359
Total	\$48,617,690	\$25,265,097	52	\$20,944,427

CONCLUSION

As this report shows, through the second quarter of the fiscal year expenses are slightly higher than the budgeted amounts, and revenue amounts are trending slightly lower than budgeted. As a result, staff is determining adjustments to be presented to the City Council for the next budget review. Revenues are not received in equal quarterly releases, and staff is currently evaluating Transient Occupancy Tax, Utility User Tax, and Franchise Fees in addition to the Real Property Transfer Tax, as they are all trending slightly lower as well. If any adjustments are deemed necessary in these categories, they will be included with the mid-year adjustments. Expenditures are trending slightly higher for Quarter 2, and Finance staff is working with departments to evaluate variances on a monthly basis for the remainder of the year. In summary, staff will prepare proposed budget adjustments to both revenues and expenditures that reflect the results of the current trends in the General Fund to be provided to the City Council at the mid-year budget session in March.